

Should Retirees Use a Total-Return Investment Portfolio?

Total-return investing focuses on building diversified portfolios from stocks and bonds to seek greater long-term investment growth. By focusing on total return, the objective over the long run is to produce a greater and steadier amount of income relative to what could be obtained by investing for income by focusing solely on interest and dividends to support spending without the need for principal drawdown. Nonetheless, investing for income is quite popular in practice. Many do-it-yourself retirees and advisors recommend investing for and living off of income in retirement, shifting away from a total-return perspective. Such methods have yet to receive much academic scrutiny, as it is difficult to obtain good data on historical returns for portfolios that tilt toward higher-yielding subsectors of the market.

Colleen Jaconetti, a senior investment analyst at Vanguard, has taken care to discuss the issues and pitfalls that come with investing for income. She spoke with the American College on these matters [in an interview](#) that is available online (see Further Reading). I will summarize her key points here.

A retirement income strategy can be based on one of two things: total return or income. In some cases, these strategies are the same. If your asset allocation is designed from a total-return perspective and you can live off the income provided by the portfolio and other income sources from outside the portfolio (e.g., Social Security), then everything is fine.

The problem is what to do when the total-return portfolio does not generate the desired income. In such a situation, a total-return perspective would have you maintain your strategic asset allocation while consuming your principal. With an income perspective, the last thing you want to do is consume your principal, so you would instead rearrange your investments to provide enough income so you wouldn't have to sell any assets to meet spending needs. In other words, you chase higher yields than a total market portfolio (capitalization-weighted on all investable assets) can provide. Often this means either shifting to higher-yielding dividend stocks, or